

PRIYANKA SHARMA, *35*

Sambhal, Uttar Pradesh

‘I don’t know how I will raise my kids’

Priyanka still recalls the day in 2023 when three men came to her home, offering a health insurance policy that promised to cover the treatment of her husband, Dinesh Chandra, recently diagnosed with throat cancer. Clinging to hope, the family handed over documents and Rs 50,000 in cash and, after Dinesh’s death, even his death certificate along with another Rs 40,000. The men made her open a new bank account and took away the passbook. Later, they handed her a cheque for Rs 10 lakh. It bounced. When she called them, they threatened her. “We were already broken after my husband’s death,” Priyanka says. “Then they cheated us in his name. I don’t know how I will raise my children”—a son and two daughters, all between 4 and 10. ■



“Insurers have already flagged thousands of such cases. Even a conservative estimate suggests that the fraud could cross Rs 1,000 cr.”

ANUKRITI SHARMA
Additional SP (South), Sambhal

policies were being issued for the dying, or that claims kept citing the same cause of death? A senior insurance official admitted the industry chases sales volumes, not quality. “Without inter-company coordination to flag suspicious activities, these frauds will keep slipping through,” he says. “Prudence is required right at the inception stage,” he adds, “through verification calls to policyholders and nominees, or even random physical checks. Similar caution is needed at the claims stage, with video calls or nominee verification before settlement.”

According to advocate Manoj Dixit, who runs a third-party investigation agency, both the empanelment process and payment structures are flawed. “For jobs that require time and a lot of legwork, investigators are paid only Rs 2,000–3,000,” he says. Naturally, background checks become perfunctory.

Sambhal SP Krishna Kumar Bishnoi says the police have begun sharing their findings with all stakeholders. “Those involved in the fraud exploited multi-agency loopholes to build their empire,” he says. “That is why we recently organised an insurance conclave in Chandausi, bringing together representatives from the finance ministry, the insurance regulator, insurers and third-party investigators. Our aim is not only to probe this case but to plug the gaps that allow such crimes.” Bishnoi adds that the response has been encouraging, with agencies like the Unique Identification Authority of India (UIDAI) already making database changes based on police inputs.

What began with a single intercepted car has snowballed into one of the largest fraud cases in recent memory—a machinery of deception stretching across states. But its cost is not measured in crores alone. It is written in the bewilderment of widows like Priyanka, who learned too late that her husband’s identity had been stolen (see *‘I don’t know how I will raise my kids’*). It lies in the chilling reality that a young man like Aman was murdered not out of enmity, but as insurance payouts waiting to be collected. The scam has exposed more than criminal ingenuity. It has laid bare the fault lines of India’s insurance system itself—where loopholes and negligence can turn a safety net into a death trap. ■